AIRBNB INVESTMENT RECOMMENDATIONS IN LOS ANGELES

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Introduction

- What is the task?
- Who is the stakeholder?
- Where did we base the research?

Objectives

- Which room type is best to invest in and list?
- How many bedrooms in a property lead to the most bookings?
- What are the top 3 neighbourhoods to invest in?
- How many bathrooms should the listing ideally have?
- How much can be charged per night?
- Which neighbourhoods should you avoid investment in?
- Which other factors attract customers?

Methods

Data collection

- Source

Data Analysis

- Python preprocessing.
- Python EDA & visualisations.
- PowerBI visualisations.

Prompt analysis

- Sampling
- Text data

General KPIs For Los Angeles

Average Revenue

$307M

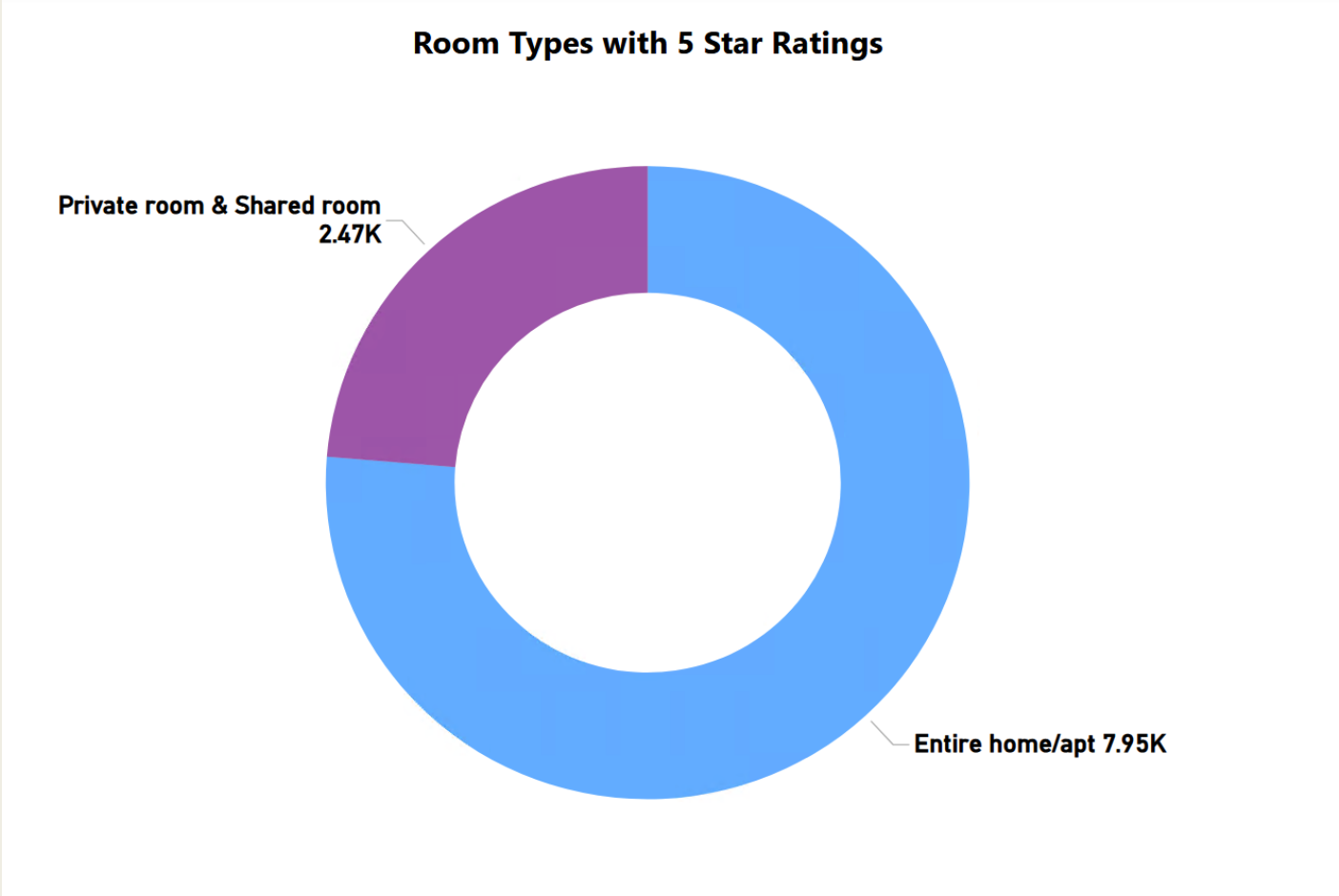
Average Price Per Night

$345.79

Average Rating

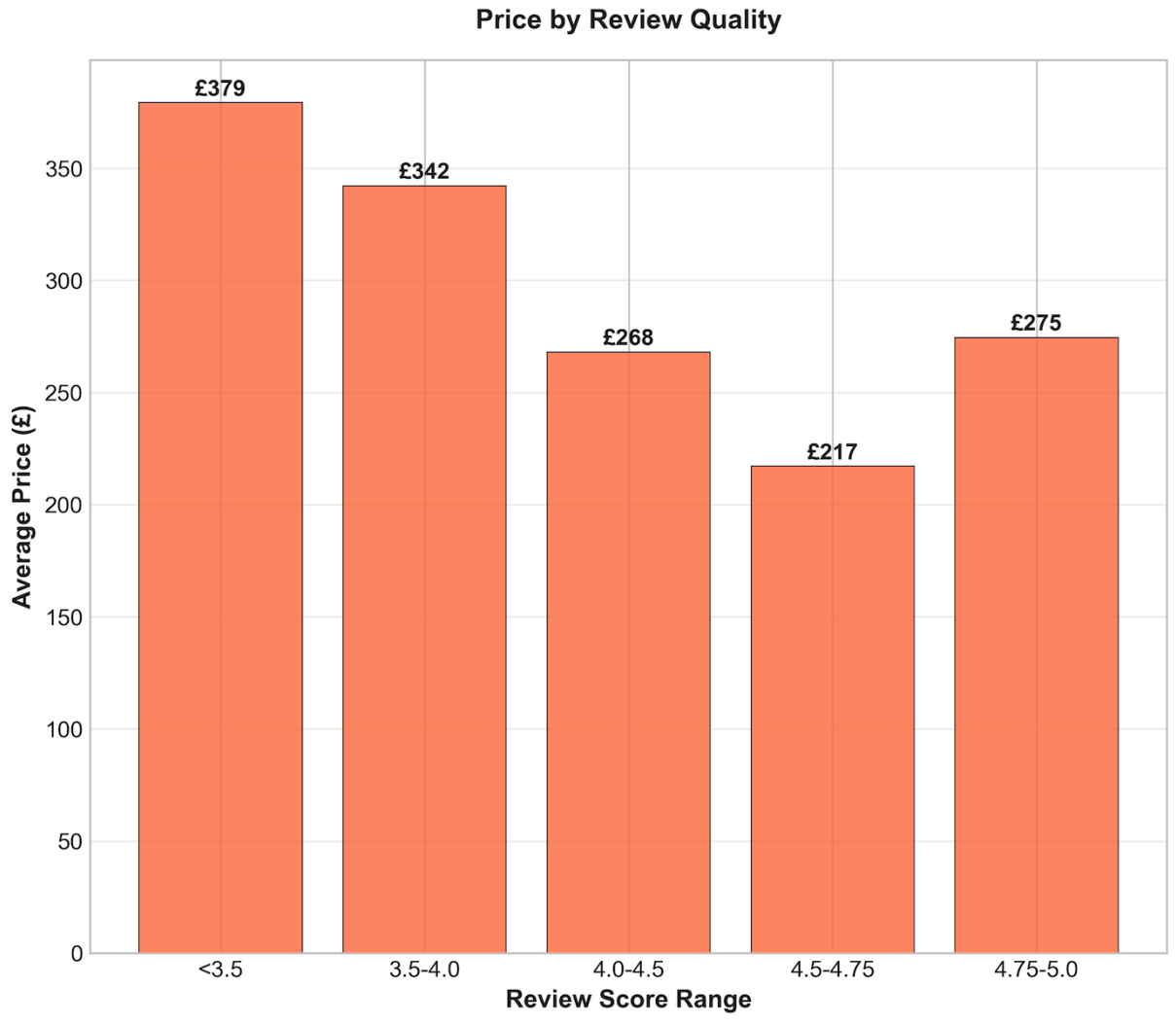
4.78

Analysis Findings – Listing type



- 3:1 preference of entire homes/apartments.
- **Factors**: privacy, no shared facility concerns, complete space, safety, comfort.

Analysis Findings - Prices



- Mid-Price range is best.
- 4.5-5 star rating price is below average of ~$345.
- Higher priced listings may be considered overpriced for their value.
- Balance between quality and affordability.

Top 5 Listings - LLM Evaluation Summary

- **Top 5 Listing Names**
- The Vine – Private Entrance – Cal KING
- Hummingbird Haven
- Highland Park Designer Retreat
- Peaceful Retreat Near Museum Row and The Grove
- Topanga Canyon Hippie Creekside Trailer

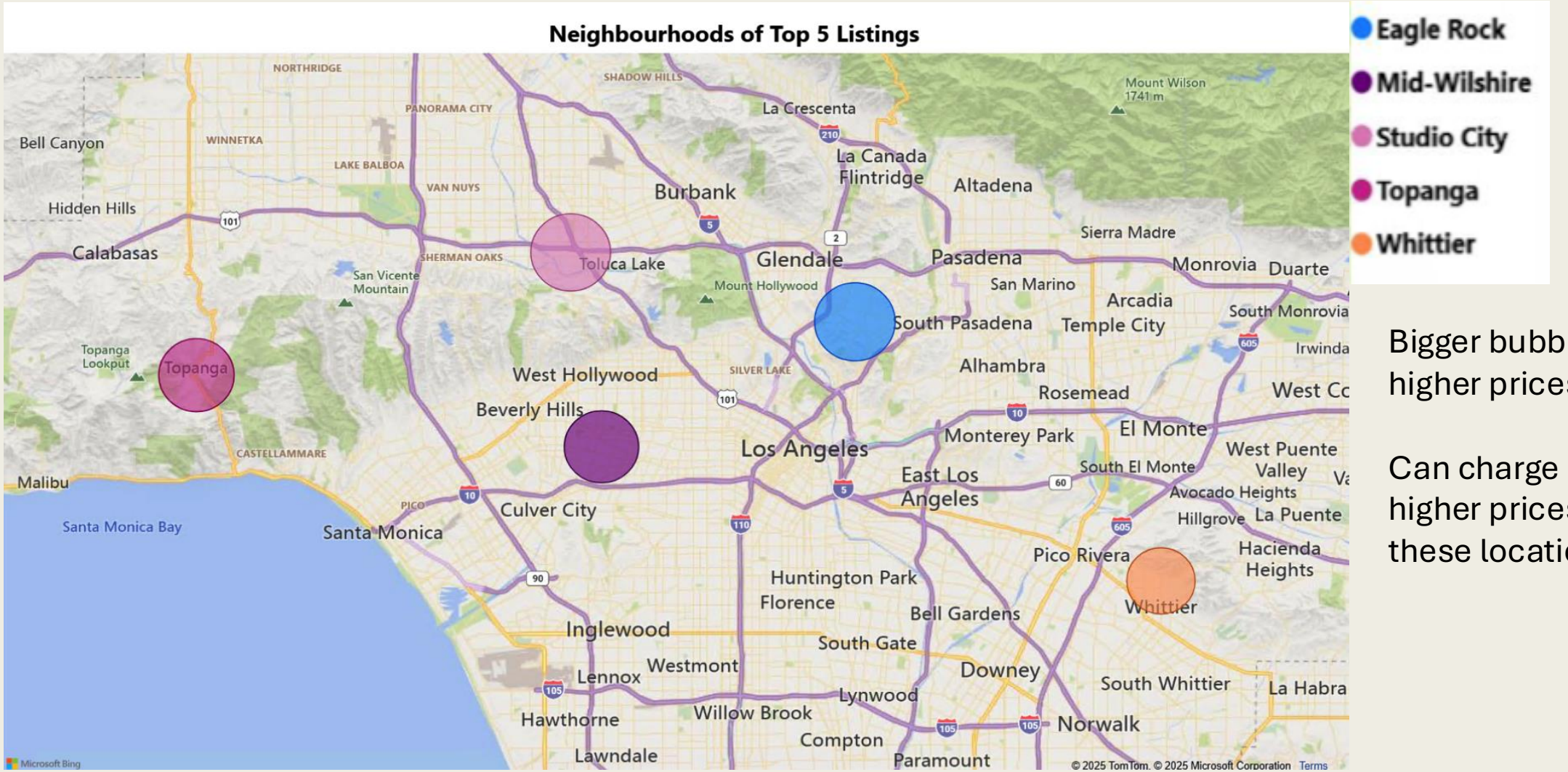
Top 5 Listings – Summary Insights

- Common Strengths Across Top 5
- Common Issues Identified
- Investment Insights

Beautiful *Comfortable*

Amazing *Peaceful*

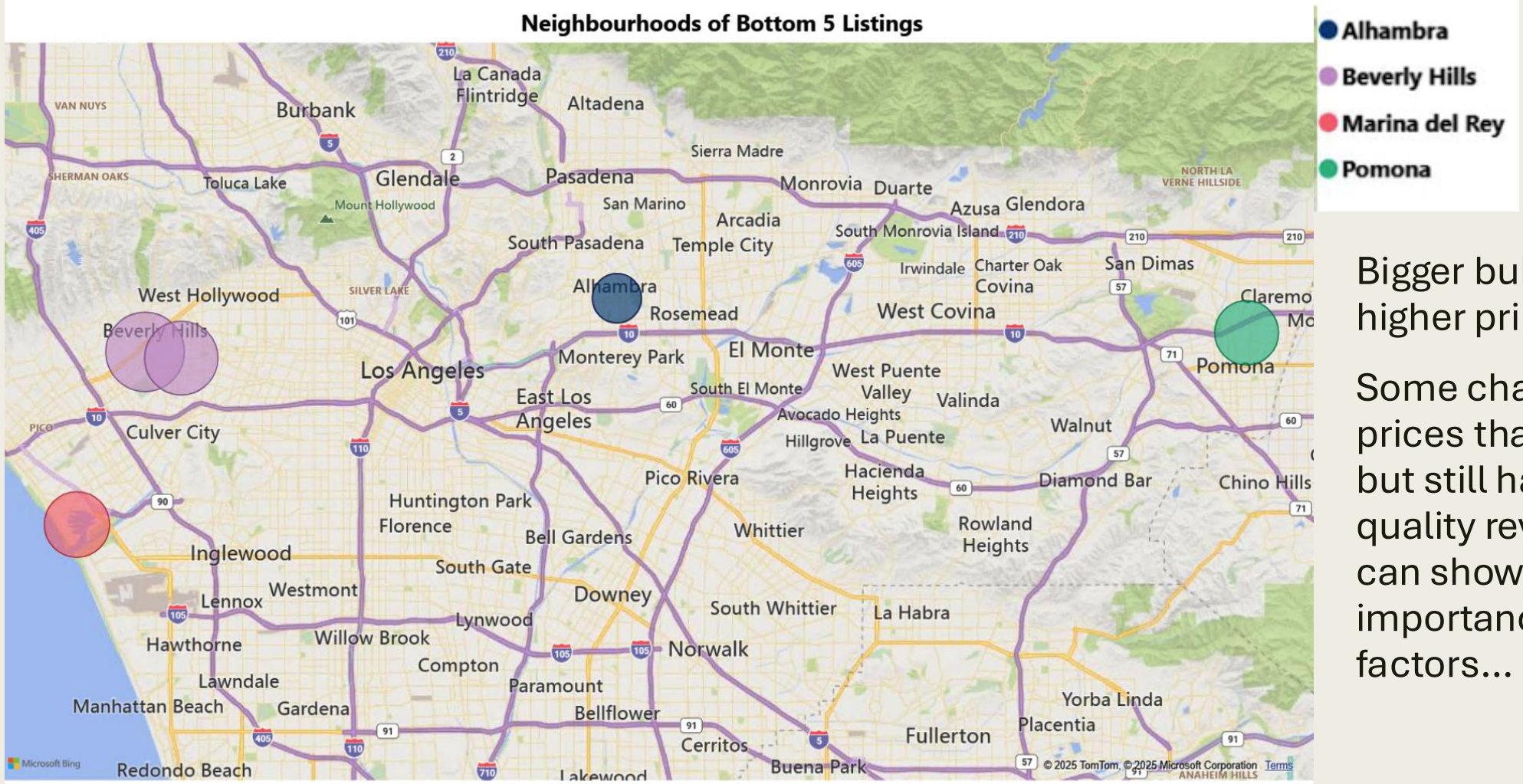
Analysis Findings – Top Listings



Bigger bubbles = higher prices.

Can charge higher prices in these locations.

Analysis Findings – Lowest Listings



Bigger bubbles = higher prices

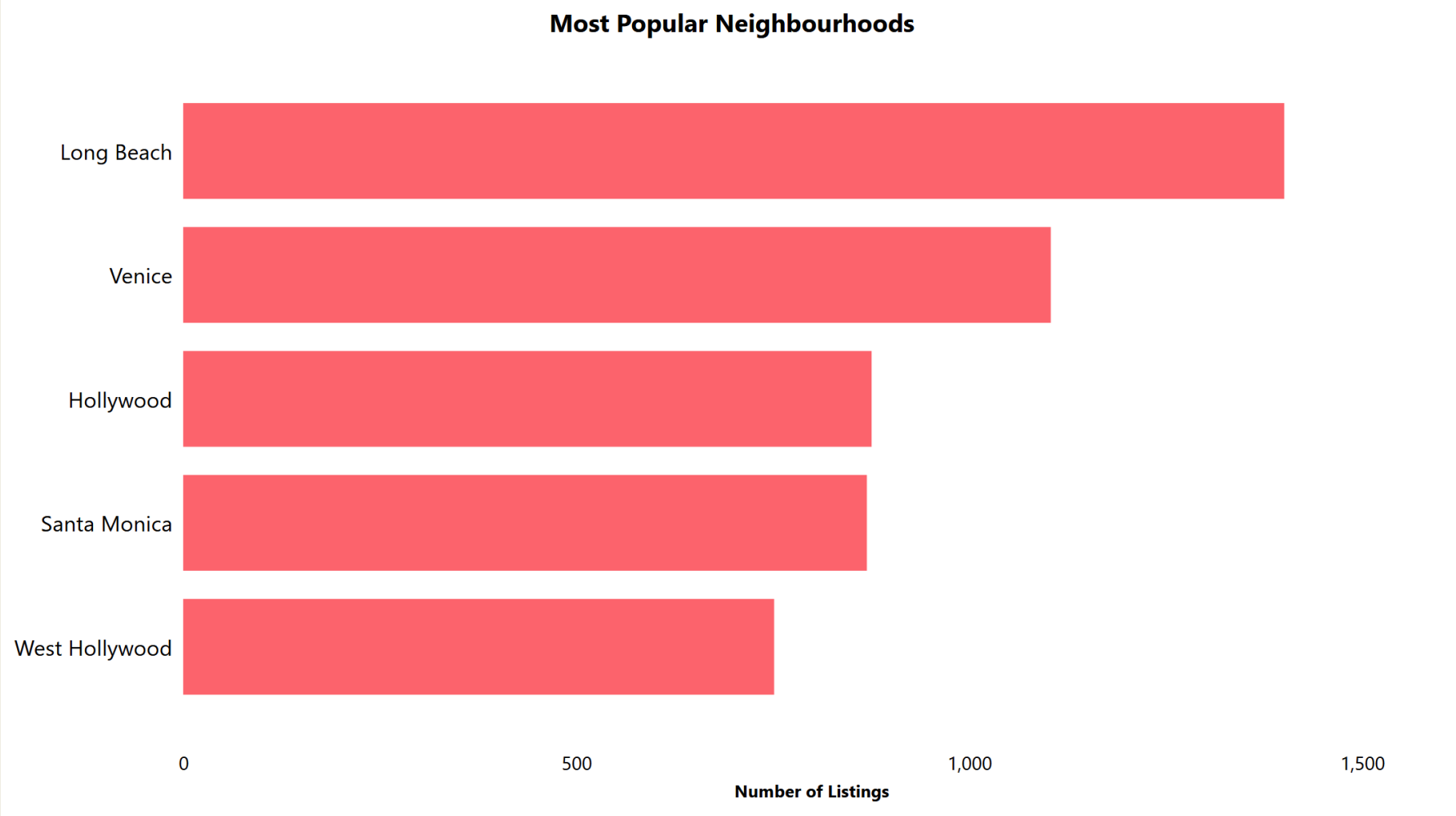
Some charge lower prices than the top 5 but still have low quality reviews which can shows the importance of other factors…

Bottom 5 Listings – LLM Evaluation Summary

- Common Weaknesses Across Bottom 5

- Investment Concerns

Analysis Findings - Neighbourhoods



- Popular names but over-saturated.
- Customer bookings might be more difficult to achieve.
- Returns may not be as high as other areas.

Recommendations

- Top 3 locations: Topanga, Eagle Rock and Studio City.
- Number of rooms: 1
- Number of bathrooms: 1
- Price to charge: ~ $300
- Which neighbourhoods should be avoided and why?
- Which other factors will increase customer satisfaction?

Conclusion

- We recommend investing in multiple smaller properties: one bedroom and one bathrooms rather than one larger property.
- Summary.

Further Work

- Increased use of budget for broader analysis.
- Larger data scope.
- Web scraping other sources for deeper analysis.

THANK YOU!

Q&A